

ENVIRONMENT

IN

44

135 sessions in state ·
OUT at ≤ 20, back IN
above 35

COMPONENT	PTS
base	60
regional banks weak against rising yields	-10
equity implied vol cheap against credit realized vol	-8
month-long rates pressure with the VIX asleep	-5
VIX and VVIX both on the floor	-3
the flip confirmation	+10

STATE	TIME	P(5% DD/21D)	P(10% DD/63D)	FWD 63D	63D MAX DD
IN	90%	0.14	0.12	+3.1%	-4.3%
OUT	10%	0.49	0.43	-0.8%	-12.5%

stay-in book since 2008: 15.03% a year, 14.6% vol, max DD -20.9% · buy and hold 10.9%, 18.58% vol, max DD -73.1%

NOW

SPY 777.22 +1.90% 5d · -0.24% off 63d high	VIX 15.08 pct 12 · 5d ROC z -0.58 · 21d -0.20	VVIX / VIX ROC Z +0.12 5d · VVIX pct 2	MOVE 102.6 pct 95 · 5d z -0.81 · 21d z +1.56	TNX 5.28% pct 99 · 5d z -0.46 · 21d z +2.43	TYX 5.66% pct 100 · 5d z +0.06 · 21d z +2.48
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MAIN RULE BOARD

RULE	STATUS	DEFINITION (ROC Z)	WHAT IT MEANT HISTORICALLY	LAST FIRST-FIRE · TOTAL
SETUP Yields ripping, VIX asleep	quiet	TNX 5d chg z > 1 and VIX 5d ROC z < -0.3	P(5% DD/21d) 0.25 vs 0.17 base; 56% of tops, median 18d lead	2026-09-23 · 293
SETUP Complacency	quiet	VIX 21d ROC z < -1, VIX 5d ROC z < -1, SKEW 10d ROC z < -0.5	P 0.24; fwd21 +0.29% vs +0.86%	2024-11-11 · 38
ONSET First impulse after compression	quiet	VIX 21d ROC z < -0.3 and VIX 5d ROC z > 1	P 0.27; fwd 5d and 10d negative	2025-05-23 · 62
ONSET VIX spike, VVIX not confirming	quiet	VIX 5d ROC z > 1 and VVIX/VIX 5d ROC z < -1	P 0.27; 47% of tops, median 11d lead	2026-07-29 · 187
ONSET Equity vol out, bond vol compressing	quiet	Impulse-after-compression and MOVE 5d ROC z < 0	P 0.43 (n=14); fwd21 -0.46%	2024-09-09 · 14
ONSET Equity vol up, oil vol down	quiet	VIX 5d ROC z > 0.3 and OVX 5d ROC z < -1	P 0.31; fwd21 -0.15%	2026-02-17 · 43
CONT Second leg	quiet	VIX 3d ROC z > 1, VIX/VIX3M 3d ROC z > 1, SPY 7%+ off 63d high	P 0.39; highest drawdown odds	2026-03-30 · 68
FAIL Rally failure: vol fading, yields up	quiet	VIX 10d ROC z < -1, TNX 5d chg z > 0.5, SPY 5%+ off high	fwd21 -1.04%; the only negative-return rule	2025-05-05 · 58
CAP Capitulation: every dimension at once	quiet	VIX, GVZ 5d ROC z > 1, MOVE 5d ROC z > 0.5, TNX 5d chg z < -0.5	fwd21 +2.50%, fwd63 +4.22%; median day -1 vs trough	2025-10-16 · 57
CAP Gold vol confirming equity vol	quiet	VIX 5d ROC z > 1 and GVZ 5d ROC z > 1	fwd21 +2.07%, fwd63 +4.22%	2026-06-10 · 123
CAP VVIX outrunning VIX in a spike	quiet	VIX 5d ROC z > 1.5 and VVIX/VIX 5d ROC z > 0	fwd21 +3.99%, fwd63 +7.60%; 9 of 9 positive	2024-09-03 · 10
ONCONF Flip confirmed	quiet	VIX 5d ROC z < -1, VVIX/VIX 5d ROC z > 0.3, VIX/VIX3M 5d ROC z < -0.5	median day +4 after trough; confirmation, not edge	2026-09-21 · 236

ROC TAPE · Z VS OWN TRAILING 252D (ORANGE ≥ +1, BLUE ≤ -1)

SERIES	LEVEL	PCT	ROC 5D %	ROC 21D %	Z 3D	Z 5D	Z 10D	Z 21D	RATIO	LEVEL	PCT	ROC Z 3D	ROC Z 5D
VIX	15.08	12	-8.02	-4.16	-0.12	-0.58	-0.03	-0.20	VIX/VIX3M	0.851	40	+0.02	-0.66
VIX1D	9.3	9	-27.14	-11.47	-0.47	-0.84	-0.40	-0.30	VIX9D/VIX	0.781	7	-0.09	-1.03
VIX9D	11.78	6	-18.68	-22.89	-0.12	-0.84	-0.51	-0.75	VIX1D/VIX9D	0.789	35	-0.55	-0.47
VIX3M	17.72	3	-3.60	-3.71	-0.25	-0.47	-0.21	-0.29	VVIX/VIX	5.516	44	-0.51	+0.12
VIX6M	19.86	2	-2.44	-2.39	-0.34	-0.48	-0.17	-0.25	MOVE/VIX	6.801	99	-0.35	-0.02
VXN	21.0	21	-6.72	-3.33	-0.11	-0.59	+0.06	-0.23	GVZ/VIX	1.551	56	+0.14	+0.37
VVIX	83.18	2	-7.30	-6.41	-0.56	-0.76	-0.54	-0.45	OVX/VIX	3.223	57	-0.30	0.00
MOVE	102.56	95	-7.41	+29.78	-0.58	-0.81	+0.42	+1.56					
GVZ	23.39	18	-1.49	-15.31	+0.04	-0.14	+0.10	-0.87					
OVX	48.61	42	-7.20	+0.04	-0.48	-0.56	-0.53	-0.13					
SKEW	141.84	27	-0.06	-4.83	-0.58	-0.01	-0.59	-0.89					
TNX	5.28	99	-1.60	+47.10	-0.21	-0.46	+1.02	+2.43					
TYX	5.66	100	+2.30	+39.70	+0.34	+0.06	+2.15	+2.48					

TICKER PAIR RULES (TICKER RELATIVE ROC × INDEX ROC)

RULE	STATUS	DEFINITION	ODDS	LAST FIRST-FIRE
credit cracking relative while vol spikes	quiet	HYG rel ROC5 z < -1 and VIX 5d ROC z > 1	P 0.71 vs 0.17 · fwd21 -10.55% · n=7	last 2018-01-16
regional banks weak against rising yields	quiet	KRE rel ROC5 z < -1 and TNX 5d chg z > 1	P 0.46 vs 0.17 · fwd21 -1.81% · n=35	last 2026-05-15
a duration bid while vol falls	quiet	TLT rel ROC5 z > 1 and VIX 5d ROC z < -1	P 0.50 vs 0.17 · fwd21 -0.64% · n=6	last 2024-11-29
utilities bid with yields up	quiet	XLU rel ROC5 z > 1 and TNX 5d chg z > 1	P 0.38 vs 0.17 · fwd21 -0.49% · n=37	last 2026-07-22
XLRE bid yields up	quiet	XLRE rel ROC5 z > 1 and TNX 5d chg z > 1	P 0.31 vs 0.17 · fwd21 +0.12% · n=13	last 2026-05-21
a small-cap beta chase into a spike	quiet	IWM rel ROC5 z > 1 and VIX 5d ROC z > 1	P 0.30 vs 0.17 · fwd21 -0.44% · n=53	last 2026-06-23
utilities leading over the month	quiet	XLU rel ROC21 z > 1	P 0.31 vs 0.17 · fwd21 +0.19% · n=197	last 2026-07-07

REALIZED-VOL LAYER

SPY RV10 / RV21 7.8 / 10.2 term structure 0.76 · z -0.96	VIX / SPY RV21 1.48 pct 52 · ROC5 z -0.07	VIX / HYG RV21 3.64 pct 10 · bottom-Q P(off) 0.31	MOVE / TLT RV21 10.00 pct 93 · ROC5 z -0.55	REALIZED-VOL BREADTH 0% share of 38 with RV10/RV21 > 1.2 · z -1.02
RV21 5D ROC Z -0.36 realized ROC, z vs own 252d	RV21 21D ROC Z +0.56 realized ROC, z vs own 252d	21/63 5D ROC Z -0.33 realized ROC, z vs own 252d	VIX-RV PREMIUM 5D CHG Z -0.18 realized ROC, z vs own 252d	

RULE	STATUS	DEFINITION	ODDS	LAST FIRST-FIRE
the VIX premium over realized collapsing	quiet	VIX-minus-realized 5d change z < -1 and VIX 21d ROC z > 1	P 0.19 vs 0.17 · fwd21 +1.41% · n=114	last 2025-04-24
realized vol outrunning implied in a spike	quiet	SPY VIX/RV ROC5 z < -1 and VIX 5d ROC z > 1	P 0.29 vs 0.17 · fwd21 +0.81% · n=48	last 2026-06-11
implied outrunning realized in a spike	quiet	SPY VIX/RV ROC5 z > 1 and VIX 5d ROC z > 1	P 0.20 vs 0.17 · fwd21 +1.60% · n=211	last 2026-07-29
Nasdaq realized outrunning implied	quiet	QQQ VXN/RV ROC5 z < -1 and VXN 5d ROC z > 1	P 0.27 vs 0.17 · fwd21 -0.49% · n=41	last 2026-06-11
equity implied vol cheap against credit realized vol	LIVE	HYG VIX/RV pct252 < 20	P 0.26 vs 0.17 · fwd21 +1.00% · n=110	last 2026-06-18
oil vol cheap against energy realized	quiet	XLE OVX/RV pct252 < 20	P 0.23 vs 0.17 · fwd21 +0.59% · n=100	last 2026-08-28
bond implied spiking over compressed bond realized	quiet	TLT RV10/RV21 z < -1 and MOVE 5d ROC z > 1	P 0.24 vs 0.17 · fwd21 -0.19% · n=45	last 2026-07-22
credit realized expanding into the spike	quiet	HYG RV10/RV21 z > 1 and VIX 5d ROC z > 1	P 0.25 vs 0.17 · fwd21 +0.79% · n=61	last 2026-03-24
gold realized collapsing faster than gold implied	quiet	GLD GVZ/RV ROC5 z > 1 and GVZ 5d ROC z < -1	P 0.46 vs 0.17 · fwd21 -2.04% · n=13	last 2022-04-07
energy realized collapsing faster than oil implied	quiet	XOP OVX/RV ROC5 z > 1 and OVX 5d ROC z < -1	P 0.46 vs 0.17 · fwd21 -0.27% · n=11	last 2025-05-13

BREADTH · EQUAL WEIGHT VS CAP WEIGHT (CONTEXT, NOT IN THE DIAL)

RSP / SPY, 21D -4.20% ratio ROC z -1.58 · 5d z -0.46	RSP / SPY, 63D -4.58% ratio ROC z -1.05	QQQE / QQQ, 21D -3.55% ratio ROC z -1.45	QQQE / QQQ, 63D -3.53% ratio ROC z -0.87	SECTORS EW > CW, 21D 33% of 9 · z -0.79	TNX 21D CHG Z +2.43 SPY 21d return z +0.53
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CELL	STATUS	DEFINITION	ODDS, ALL DAYS	SINCE · LAST SCORED FIRST-FIRE
equal weight losing a month into a yield rip	LIVE	RSP/SPY 21d ratio ROC z < -1 and TNX 21d chg z > 1	P 0.33 vs 0.17 · fwd21 -0.92% · n=37	live since 2026-09-18 · last 2026-05-12
equal weight losing a quarter into a yield rip	LIVE	RSP/SPY 63d ratio ROC z < -1 and TNX 21d chg z > 1	P 0.41 vs 0.17 · fwd21 -1.76% · n=27	live since 2026-10-07 · last 2026-05-12
equal-weight Nasdaq losing a quarter into a yield rip	quiet	QQQE/QQQ 63d ratio ROC z < -1 and TNX 21d chg z > 1	P 0.41 vs 0.17 · fwd21 -0.89% · n=25	last 2026-05-13
equal weight outperforming inside a decline	quiet	RSP/SPY 21d ratio ROC z > 0 and SPY 21d return z < -1	P 0.36 vs 0.17 · fwd21 -0.58% · n=67	last 2026-03-26
broadening while vol compresses	quiet	RSP/SPY 63d ratio ROC z > 1 and VIX 21d ROC z < -1	P 0.06 vs 0.17 · fwd21 +2.09% · n=49	last 2026-08-27

PAIR (EW / CW)	21D %	63D %	ROC 5D Z	ROC 21D Z	ROC 63D Z	ACCEL Z	P(OFF) 63D BOT / TOP Q
RSPM/XLB	-1.48	+0.27	-1.10	-2.22	-0.54	+0.13	0.19 / 0.23
RSPC/XLC	-4.77	-3.26	-0.10	-2.04	-0.94	-0.15	0.08 / 0.14
RSPS/XLP	-2.60	-2.06	-0.77	-1.63	-0.52	-0.49	0.21 / 0.18
RSP/SPY	-4.20	-4.58	-0.46	-1.58	-1.05	+0.13	0.23 / 0.14
QQQE/QQQ	-3.55	-3.53	-0.71	-1.45	-0.87	-0.26	0.17 / 0.20
RSPG/XLE	-1.92	-3.78	+1.55	-1.33	-2.07	+2.46	0.28 / 0.12
RSPF/XLF	-0.73	-1.07	-0.25	-0.74	-0.97	-0.04	0.22 / 0.16
RSPD/XLY	-2.67	-1.87	-1.02	-0.65	-0.23	-1.00	0.23 / 0.14
RSPT/XLK	+0.17	+0.33	+1.07	-0.21	-0.56	+1.29	0.23 / 0.16
RSPH/XLV	+0.15	+3.85	-0.33	-0.04	+1.48	-0.45	0.32 / 0.10
RSPR/XLRE	-0.35	-1.78	-0.29	+0.01	-0.56	-0.30	0.24 / 0.04
RSPU/XLU	+0.11	-0.96	-1.00	+0.03	-1.35	-1.08	0.13 / 0.23
RSPN/XLI	-0.15	-0.06	+0.22	+0.31	+0.82	+0.23	0.24 / 0.14

SPOKEN SUMMARY

As of the 2026-10-07 close. Every series posted this session. The environment dial reads 44 and the state is IN, 135 sessions in. Base 60, minus 10 for regional banks weak against rising yields, minus 8 for equity implied vol cheap against credit realized vol, minus 5 for month-long rates pressure with the VIX asleep, minus 3 for VIX and VVIX both on the floor and plus 10 for the flip confirmation. OUT needs 20 or below; back IN above 35. In the IN state since 2008 the odds of a five percent drop within a month were 14 percent and of a ten percent drop within a quarter 12 percent, with a mean next quarter of +3.1 percent.

The main rule board is empty: nothing live, nothing fired in the last ten sessions. The ticker pair board is empty: nothing live, nothing fired in the last ten sessions. On the realized-vol board, live: equity implied vol cheap against credit realized vol.

VIX 15.08, 12th percentile of the year, five-day rate of change z -0.58, twenty-one-day -0.20. VVIX-to-VIX five-day rate of change z +0.12, with VVIX itself at the 2nd percentile. There is no spike to discriminate. If the VIX jumps from here, the question is whether VVIX keeps pace: lagging is onset, keeping up is a dip.

Ten-year at 5.28 percent, 99th percentile, five-day change z -0.46, twenty-one-day +2.43. Thirty-year at 5.66, 100th percentile, five-day +0.06, twenty-one-day +2.48. The five-day rates setup is not live. The month-long rates pressure context is live and counting in the dial. Bond vol is at the 95th percentile, five-day z -0.81, twenty-one-day +1.56.

Realized: SPY ten-day realized 7.8, twenty-one-day 10.2, term structure 0.76 at z -0.96. Realized-vol breadth 0 percent of the thirty-eight with short realized expanding, z -1.02. VIX minus realized premium five-day change z -0.18. VIX over high-yield realized vol sits at the 10th percentile, the cheap-credit-vol bucket that carried about thirty percent odds of a five percent drawdown inside a month.

Breadth, context only and not in the dial. Equal-weight S&P -4.2 percent against cap-weight over twenty-one sessions, ratio rate of change z -1.58, and -4.6 percent over sixty-three, z -1.05. Equal-weight Nasdaq -3.5 and -3.5 percent, z -1.45 and -0.87. Three of nine sectors have equal weight ahead over the month. Live cells: equal weight losing a month into a yield rip since 2026-09-18 and equal weight losing a quarter into a yield rip since 2026-10-07. Historically those cells carried 33 percent and 41 percent odds of a five percent drawdown inside a month.

Dimension tags printed in the last five sessions: rate-led and equity only.

Backtest context for the dial: fully invested when IN and in cash when OUT since 2008 returned 15.03 percent a year at 14.6 percent vol with a maximum drawdown of -20.9 percent, against buy-and-hold 10.9 percent at 18.58 percent vol and -73.1 percent. About 2.5 state changes a year.

Rates of change are log changes over 1 to 21 sessions, z-scored against each series' own trailing 252 sessions. P(5% DD/21d) is the share of days after which SPY fell 5% or more within 21 sessions; base rate 0.174. The dial is base 60 plus rule points that persist for each rule's window; the state is OUT at 20 or below and returns to IN only above 35. Breadth and volume are reported as context and carry no weight in the dial. Source: Yahoo via the yfinance fork; ^VIX1Y and ^RVX are not served and are excluded.